

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

TRIPLE L GLOBAL, LLC, *Complainant*

v.

SLI, INC. D/B/A SEALINK INTERNATIONAL, *Respondent*.

DOCKET NO. 24-26

Served: December 20, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION TO DISMISS

I. Introduction

On September 3, 2024, Respondent SLI, Inc. d/b/a Sealink International (“Sealink” or “SLI”) filed a motion to dismiss the complaint for lack of subject matter jurisdiction and failure to state a claim (“Motion”) with an appendix. On September 24, 2024, Complainant Triple L Global, LLC (“TLG” or “Triple L”) filed a timely opposition to the motion to dismiss (“Opposition”). On October 1, 2024, Sealink filed a reply (“Reply”).

For the reasons set forth below, Sealink’s motion to dismiss is **DENIED**. Sealink shall file its response to the complaint by January 8, 2025, and the parties shall submit a joint status report with proposed schedule by January 16, 2025. The parties are encouraged to discuss settlement and if a settlement is reached, it must be filed with the Commission with a motion seeking approval of it.

II. Background

A. Arguments of the Parties

Sealink asserts that the Commission lacks jurisdiction over TLG’s alleged violations; TLG fails to state a claim for unjust and unreasonable practices under section 41102(c); and TLG has not plead a plausible violation of section 41103. Motion at 5-15. Sealink also argues that TLG has the burden in response to the motion to dismiss and TLG provides no factual basis for its section 41103 claim. Reply at 3-9.

TLG contends that Sealink is an ocean transportation intermediary (“OTI”), either an ocean freight forwarder (“OFF”) or a non-vessel-operating common carrier (“NVOCC”) and that the Commission has jurisdiction over TLG’s complaint alleging violations of the Shipping Act; TLG stated a claim for unjust and unreasonable practices under section 41102(c); and it adequately pled a plausible violation section 41103. Opposition at 2, 7-18.

B. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, 2 F.M.C. 2d 198, 2020 WL 13512925, at *4 (FMC Oct. 29, 2020).

When "jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 2011 WL 7144008, *12 (FMC Aug. 1, 2011). "A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

III. Discussion

A. Subject Matter Jurisdiction

Sealink contends that the Commission lacks jurisdiction for three reasons: (1) the section 41102(c) claim does not relate to "receiving, handling, storing, or delivering" of property, (2) the Commission does not have jurisdiction over one-time events that are not "normal," and (3) TLG is not a "direct purchaser" and has no standing to seek reparations. Motion at 5-10.

TLG asserts that the Commission has jurisdiction over TLG's complaint alleging violations of the Shipping Act because Sealink is a regulated entity; Complainant's section 41102(c) claim relates to the "receiving, handling, storing, or delivering" of property; TLG

adequately pled that the claimed acts or omissions of SLI are occurring on a normal, customary, and continuous basis; and TLG has standing to seek reparations. Opposition at 7-13.

In reply, Sealink contends that TLG has the burden to prove subject matter jurisdiction; Sealink's status as an ocean freight forwarder ("OFF") or non-vessel-operating common carrier ("NVOCC") fails to negate the motion to dismiss; TLG's opposition fails to demonstrate a claim related to the shipping, handling, storing, or delivery of property; terms and conditions do not show a customary practice; and TLG fails to show that it is a direct purchaser. Reply at 3-8

"[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission." *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov't of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court's dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that "the Federal Maritime Board has exclusive primary jurisdiction over" matters "under the Shipping Act"))).

Sealink asserts three ways in which it alleges that the Commission lacks subject matter jurisdiction over TLG's alleged violations. The first two are related to the required elements of a section 41102(c) claim. The third is whether TLG was a direct purchaser with standing to seek reparations.

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. Sealink raises arguments regarding two elements: (1) whether the practice relates to or is connected with receiving, handling, storing, or delivering property and (2) whether the claimed practices are occurring on a normal, customary, and continuous basis.

1. Receiving, Handling, Storing, or Delivering Property

Sealink contends that to have subject matter jurisdiction, the alleged wrongful conduct must be within the scope of the Shipping Act; section 41102(c) is limited to regulations and practices with respect to property and does not apply to the transportation of property; and each claim is based on the Agreement between the parties and therefore not subject to the Commission's jurisdiction. Motion at 5-7; *see also* Reply at 4-6.

TLG asserts that Sealink posted conflicting terms and conditions on its website; asserted a unilateral right to hold and sell TLG's cargo; and had a practice of demanding unreasonable deposits to deliver TLG's cargo. Opposition at 9-10.

In 1989, the D.C. Circuit addressed the scope of 10(d)(1) (now 41102(c)) and rejected the argument that section 17 applied only to physical services performed at the terminal, stating:

The Commission, however, relies on section 10(d)(1) of the 1984 Act, *id.* section 1709(d)(1), which states: "No common carrier, ocean freight forwarder, or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." Section 10(d)(1) was derived from section 17 of the 1916 Act, 46 U.S.C.App. section 81646 U.S.C.App. section 816. The NCBFAA counters that the FMC had long applied section 17 only to physical services performed at the terminal. Brief of Petitioner at 28–29. Although some forwarder activities, petitioner thus maintains, are subject to the Commission's 'reasonable practice' jurisdiction, those activities do not include fee arrangements for forwarding services preliminary to an actual shipment. Reply Brief of Petitioner National Customs Brokers & Forwarders Association of America, Inc. at 15–16.

In *American Union Transport*, 327 U.S. 437, 66 S.Ct. 644, 90 L.Ed. 772, the Supreme Court recognized broad Commission authority to regulate forwarders, stating: "By the nature of their business, independent forwarders are intimately connected with" the activities listed under section 17, that is, "the receiving, handling, storing or delivering of property." *Id.* at 449, 66 S.Ct. at 650. To confine "reasonable practice" jurisdiction to physical cargo handling services performed at the terminal, the FMC indicates, would be inconsistent with *American Union Transport*; such an interpretation, in large measure, would place freight forwarders outside the statute because forwarders (unlike carriers and terminal operators—the other entities covered by section 10(d)) traditionally do not operate at terminals. Brief of Respondents at 33. We are satisfied that the Commission has fairly and reasonably construed section 10(d)(1)'s scope and now turn to the specific regulations the NCBFAA challenges.

Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc. v. United States, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (footnote omitted). The court concluded that: "We uphold the FMC's constant rule on the ground that the Commission, in the reasonable exercise of its rulemaking authority, may interpret section 10(d)(1) to prohibit forwarder discrimination in the charges billed to customers." *Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc.*, 883 F.2d at 100.

The Commission recently addressed its jurisdiction in 41102(c) claims, stating:

The Commission has broad general rulemaking authority under 46 U.S.C. 305, which provides that the Commission "may prescribe regulations to carry out its duties and powers." The Commission has relied on this authority and § 41102(c) to issue regulations prohibiting certain practices determined to be unjust and unreasonable, and the D.C. Circuit has affirmed this authority.

Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29638, 29644 (May 18, 2020) (footnotes omitted).

In addition, abundant Commission case law contradicts the argument that section 41102(c) only applies to services performed at the terminal and to terminal forwarding operations. *See, e.g., TCW, Inc. v. Evergreen Shipping Agency (America) Corporation*, FMC Docket No. 1966(I), 2021 WL 1748425 at * 17 (FMC Feb. 19, 2021) (adopting the SCO's determination that the ocean carrier's demurrage and detention practices violated section 41102(c)); *Mitsui O.S.K Lines v. Global Link*, Docket. No. 09-01, 2011 WL 7144008 at *6-7 (FMC Aug. 1, 2011) (establishing that the Shipping Act of 1984 allows the Commission to hear claims involving the inland portions of international ocean transportation arrangements, including the Complainant's claim that an arrangement involving the split-routing of cargo by the respondents violated section 41102(c)); *Distribution Servs., Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines*, Docket No. 86-12, 1988 WL 340659 at *6-7 (FMC Jan. 16, 1988) (affirming the ALJ's finding that the Respondents' rule denying the payment of transloading allowances when consignees load shipment at their facility was an unjust and unreasonable regulation or practice related to or connected with the receiving, handling, storing or delivering of property, in violation of section 10(d)(1) (predecessor to section 41102(c)) of the Shipping Act of 1984)); *American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Comm'n*, 389 F.2d 962, 968 (D.C. Cir. 1968) (affirming the Commission's determination that the respondent Conference's imposition of certain charges on truckers and lightermen constituted unjust and unreasonable practices under section 17 of the Shipping Act, 1916, (predecessor to section 41102(c) (emphasis added))); *Eastern Mediterranean Shipping Corp. – Possible Violations of Section 10(a)(1), 10(b)(1), and 10(d)(1) of the Shipping Act of 1984*, Docket No. 98-16, 1999 WL 125987 (ALJ Feb. 3, 1999) (Respondents found to have violated section 10(d)(1) by failing to remit payments to vessel-operating common carriers on behalf of customers, providing false and misleading information to shippers, failing to provide bills of lading to shippers, and causing delays in delivery because of their "actions or inactions."). These are but a drop in the ocean of Commission cases contradicting Hapag-Lloyd's arguments.

The complaint alleges that Sealink's unreasonable and unjust practices relate to receiving, handling, storing, or delivering property of Complaint's cargo. Complaint, ¶¶ 6, 11, 34, 36. Specifically, TLG alleges that Sealink held cargo hostage to extract additional payments, failed

to deliver cargo, and sold the cargo to an unknown buyer. At this stage, these claims are sufficient to allege that the violations are connected with receiving, handling, storing, or delivering property and within the jurisdiction of the Commission.

2. Normal, Customary, and Continuous Practice

Sealink contends that TLG “falsely declared their cargo, causing Sealink to incur numerous fines and lost profits;” that the claim is regarding a single occurrence; and therefore the allegations fail to conform to the Commission’s rigorous definition of a “practice.” Motion at 7-9, *see also* Reply at 6-7.

TLG asserts that it alleged that Sealink continues to attempt to convert TLG’s cargo; Sealink’s practices are “established by its posting of its Terms and Conditions of Service;” and that “such practice is not isolated, discreet, or on a one-time basis—but continuing to date.” Opposition at 12-13.

The complaint alleges that Sealink’s practices were occurring on a normal, customary, and continuous basis, because Sealink continues to assert ownership of Complainant’s cargo, and that up to 47 containers were involved. Complaint, ¶¶ 10, 35. Moreover, the complaint specifically refers to Sealink’s terms and conditions lien provisions. Complaint, ¶¶ 9, 36.

In the section on reasonableness, Sealink’s motion argues, regarding the seizure of TLG’s cargo, that “[t]his action by Sealink was an exercise of Sealink’s rights as a lienholder—according to the terms and conditions of the Agreement.” Motion at 12-13. Therefore, Sealink is acknowledging that it acted pursuant to its terms and conditions. This suggests that this was not an isolated incident but rather one of Sealink’s practices. At this stage, these claims are sufficient to allege that the violations were a practice occurring on a normal, customary, and continuous basis and within the jurisdiction of the Commission.

3. Direct Purchaser

Sealink contends that TLG has not established an actual injury; that TLG “has not alleged any facts showing that it paid ocean freight because Triple L did not pay any of the contested tariffs that were imposed by the carrier;” TLG “did not pay the tariffs and inspection fees charged by the carrier;” and because TLG has no actual injury, it lacks standing. Motion at 9-10.

TLG asserts that it paid ocean common carriers the ocean freight charges through Sealink, which acted as an agent for TLG; the “Direct Purchaser” rule has no application to this proceeding; TLG is not seeking reparations, refunds, or disputing demurrage and detention charges in this proceeding against the ocean carriers involved in transporting TLG’s cargo but rather injuries resulting from Respondent’s violations. Opposition at 13-14.

The complaint seeks a cease and desist order; an order to show cause why Sealink’s OTI license should not be revoked; and reparations including lost profit, loss of value of Complainant’s cargo unlawfully sold by Respondent, interest, and attorneys’ fees. Complaint, section X.

Sealink conflates two related but different concepts: actual injury and direct purchaser. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *Id.* at *3 (quoting *California Shipping*, 1990 WL 427466, at *23). This does not impact standing as parties may also pursue a cease-and-desist order. “Given that a showing of actual harm is not a prerequisite for a cease-and-desist order, Respondents’ arguments that the Complainant failed to prove financial harm or actual loss are legally immaterial.” *Intermodal Motor Carriers Conference, American Trucking Ass’n, Inc. v. OCEMA*, 2024 WL 641501, at *44 (FMC Feb. 13, 2024). Here, reparations are sought for lost profit and loss of the value of Complainant’s cargo. Those are actual damages suffered by Complainant which are appropriate for Complainant to seek.

The other concept is the direct purchaser rule. The “Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recovery reparations for overcharges.” *In Re: Vehicle Carrier Services*, Docket No. 16-01, 2019 WL 5419475, at *6 (FMC Oct. 21, 2019). In that case, the individual purchasers of vehicles, and the truck and auto dealers, were found not to be direct purchasers where they alleged that an improper fee had been passed on to them. *Id.* at *1, *7. However, the claims of the ocean transportation intermediaries and manufacturer/shippers were permitted to continue, with the Commission stating that “cargo owners have standing to sue only if they directly paid the carrier or OTI who allegedly violated the Shipping Act.” *Id.* at *15. Here, TLG is not seeking damages based on a pass-through theory and the direct purchaser rule does not apply. Rather, TLG will need to establish its actual injury.

The parties should note that revocation of an OTI license is typically handled by the Commission’s Bureau of Certification and Licensing under section X, *see* 46 C.F.R. § 502.701, *et seq.*, and it is not clear that the undersigned can suspend or terminate a license in a private party proceeding.

B. Failure to State a Claim

Sealink asserts that TLG fails to state a claim for both section 41102(c), unreasonable practices, and section 41103, disclosure of information. The section 41102(c) arguments are addressed first.

1. Section 41102(c): Unreasonable Practice

Sealink asserts that TLG fails to state a claim regarding three elements of a section 41102(c) claim: (a) reasonableness, (b) receiving, handling, storing, or delivering property, and (c) practices that are occurring on a normal, customary, and continuous basis. Motion at 10-13. Some of these overlap with the arguments regarding jurisdiction addressed above. Typically, the most contentious element is reasonableness, so that element is addressed first.

a. Unjust or Unreasonable

Sealink contends the TLG has not pointed to a specific provision of Sealink's terms that it claims violate the Commission's regulations and Sealink was exercising its rights as a lienholder according to its terms and conditions. Motion at 12-13. TLG asserts that Sealink has two different terms and conditions with different notice provisions, and that the notice provided by Sealink before seizing and liquidating TLG's cargo did not meet Sealink's terms and conditions and was unreasonable. Opposition at 15-16.

Commission law is clear that "transportation of cargo cannot be aborted or cargo held to coerce payment of debt for other shipments." *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2012 WL 11914703, at *22 (ALJ Aug. 14, 2012), *aff'd*, 2013 WL 9808694 (FMC Oct. 31, 2013); *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, Docket No. 02-12, 2003 WL 136313, at *14 n.14 (ALJ Jan. 8, 2003) (disputes over earlier unrelated shipments cannot be used by a shipper as justification for refusing to release the cargo), admin. final Feb. 12, 2003; *Tienshan v. Tianjin Hua Feng Transport*, Docket No. 08-04, 2011 WL 7144007, at *17 (ALJ Mar. 9, 2011) ("An NVOCC that holds cargo hostage to its demands for money allegedly owed for prior shipments violates section 10(d)(1)."), admin. final April 12, 2011.

Similarly, Commission case law indicates that cargo cannot be held to obtain additional fees or to collect an unreasonable debt. *Corpco Int'l v. Straightway Inc.*, Docket No. 97-05, 1998 WL 940257, at *7 (FMC June 8, 1998) ("Straightway violated section 10(d)(1) of the Act by forcing its customer to pay additional transshipment costs to obtain the negotiable bill of lading necessary to effect the delivery of certain cargo."); *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, Docket No. 1831(F), 1998 WL 940255 (FMC Dec. 10, 1998) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of 10(d)(1)).

In *Adenariwo*, the Commission affirmed that the Settlement Officer had properly found a violation of 41102(c). *Adenariwo v. BDP Int'l*, Docket No. 1921(I), 2014 WL 13110647, at *1 (FMC Feb. 20, 2014) ("*Adenariwo (FMC)*"). In *Adenariwo*, the complainant alleged that pursuant to the order of Zim, the vessel operating common carrier, a container "was unreasonably held by Zim's agent Lansal until payment for storage charges for a separate container shipment was made." *Adenariwo (FMC)*, 2014 WL 13110647, at *1. In its opposition, "Zim pointed to the general lien clause in the terms and conditions of shipment, and said that its refusal to release the second shipment based on outstanding charges on a separate shipment was reasonable pursuant to its contractual rights." *Adenariwo (FMC)*, 2014 WL 13110647, at *1.

The Settlement Officer had first noted that "the Commission has stated that each bill of lading is a separate transaction under the Shipping Act" and therefore held that the law permitted Zim "to exercise a valid maritime lien and hold a shipment based on the charges that accrued on the bill of lading covering that specific shipment." *Adenariwo v. BPD Int'l*, Docket No. 1921(I), 2013 WL 12618258, at *6 (SO Mar. 7, 2013) ("*Adenariwo (SO)*"). The Settlement Officer therefore held that Zim violated 41102(c) because the "act of holding a shipment for an unrelated shipment's charges is an unreasonable practice under the Shipping Act." *Adenariwo (SO)*, 2013 WL 12618258, at *6.

The Commission affirmed the Settlement Officer's decision, stating that "while the law permits carriers to exercise valid maritime liens and hold a shipment for charges that accrue on that specific shipment's bill of lading, holding a shipment for charges unrelated to that shipment is unreasonable." *Adenariwo (FMC)*, 2014 WL 13110647, at *1 (footnote omitted). The Commission also affirmed an award of damages to Adenariwo, although the D.C. Circuit held that Adenariwo's damages ought not be reduced by mitigation. *Adenariwo v. FMC*, 808 F.3d 74, 76 (D.C. Cir. 2015). *See also Petra Pet*, 2012 WL 11914703, at *17, *24 ("a maritime lien secures money lawfully owed for the carriage of that particular shipment" and once "those shipments were released, any maritime lien expired.").

The complaint alleges that a shipment was improperly labeled as non-hazardous and because of this issue with one shipment, that Sealink "demanded 500K deposit and if not made, that Sealink would exercise its rights to sell TLG's cargo to cover its costs, expenses, damages, and liability;" then later proposed that TLG "deposit an additional \$65,000 plus pay \$3,000 per each container for the release of Complainant's 47 containers booked with Maersk," and later "demanded again that Complainant deposit \$500K within 48 hours or Sealink would take possession of Complaint's cargo;" and that ultimately, "Sealink, without any notice to Complainant, sold Complainant's cargo shipped under Maersk bill of lading SII289678." Complaint, ¶¶ 18-20, 27, 32. Therefore, TLG has claimed that Sealink withheld cargo, and then sold that cargo to someone else, due to issues with a different shipment, without the notice promised under its own terms and conditions.

TLG has clearly alleged a plausible violation of the reasonableness element of section 41102(c). After discovery, Complainant will need to present evidence supporting its claim. At this stage, the plausibility standard is met.

b. Property

Sealink contends that TLG's assertions "related to accounting, overpayments, and fraudulent activity is not a matter connected with the 'receiving, handling, storing, or delivering of property.'" Motion at 11. TLG asserts that Sealink's "failure to provide proper accounting, overpayments, and refrain from fraudulent activity are all activities and matters that relate to the receiving, handling, storing, or delivering of property." Opposition at 14.

The complaint alleges that Sealink "sold Complainant's cargo without notice and over repeated objections by Complainant" and that "Sealink's unreasonable and unjust practices relate to receiving, handling, storing, or delivering property of Complaint's cargo and such practices continue to date." Complaint, ¶¶ 9, 36. If the property was sold, then it was not delivered, and a plausible claim has been made that Sealink's practices relate to receiving, handling, storing, or delivering property of Complaint's cargo, as alleged in the complaint. Complaint, ¶ 36. At this stage of the proceeding, TLG has alleged a plausible claim of the property element of a section 41102(c) claim.

c. Practice

Sealink contends that count I is based on a single occasion and that TLG has only alleged the "bare minimum" and fails to state a claim for a practice. Motion at 11. TLG asserts that the

complaint references “specific provisions of SLI’s terms that it claimed violated the Commission’s regulations. Opposition at 14-15.

The complaint asserts that “Sealink’s failure to establish, observe, and enforce its own just and reasonable regulations are occurring on a normal, customary, and continuous basis,” that 47 containers are involved, and specifically that “Respondents continue to attempt to convert Complainant’s cargo—citing Sealink’s website terms and conditions that run afoul of FMC regulations.” Complaint, ¶¶ 10, 35-36. TLG specifically refers to Sealink’s terms and conditions lien provisions. Complaint, ¶¶ 9, 36. In the Sealink motion section on reasonableness, Sealink’s argues, regarding the seizure of TLG’s cargo, that “[t]his action by Sealink was an exercise of Sealink’s rights as a lienholder—according to the terms and conditions of the Agreement.” Motion at 12-13. Therefore, Sealink is acknowledging that it acted pursuant to its terms and conditions. This suggests that this was not an isolated incident but rather one of Sealink’s practices. Under these facts, this is sufficient to allege a practice at this early stage of the proceeding.

2. Section 41103: Disclosure of Information

Sealink initially asserts that TLG “merely alleges that Sealink’s contacting Triple L’s consignee is a violation of 46 U.S.C. § 41103.” Motion at 14. TLG alleges that two shipments were unlawfully seized and sold by Sealink and that “it could not have sold TLG’s cargo without providing to any potential buyer, the nature, kind, quantity, destination, consignee, or routing of TLG’s cargo.” Opposition at 17. In reply, Sealink contends that TLG has not provided communications showing what information was disclosed and that TLG “provides no alternative case or example” to distinguish from Sealink’s caselaw arguments. Reply at 8-9.

Section 41103(a)(1) states that:

(a) Prohibition.—A common carrier, marine terminal operator or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information – (1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor

46 U.S.C. § 41103(a)(1) (previously section 10(b)(13)).

As the Commission explained:

In order to establish a violation of section 10(b)(13), the following elements must be shown: (1) disclosure of information concerning the nature, kind, quantity, destination, consignee or routing of property tendered or delivered to a common carrier; (2) that such disclosure was knowingly made by a common carrier or ocean freight forwarder, either alone or in conjunction with any other person; and (3) that the information disclosed is of the type that could be used to the detriment or prejudice of the shipper, consignee, or any common carrier, or could

improperly disclose its business transaction to a competitor. In order to receive reparations for a violation of section 10(b)(13), a complainant must show that disclosure of information caused actual injury.

DNB Exports LLC. v. Barsan Global Logistiks Ve Gumruk Musavirligi A.S., Docket No. 11-07, 33 S.R.R. 670, 679 (FMC Sept. 4, 2014) (footnote omitted).

The complaint alleges that “Sealink unlawfully disclosed information concerning Complainant’s cargo, relating to the nature, kind, quantity, destination, consignee, and routing of Complainant’s cargo without Complainant’s consent as the shipper, and the information was used to the detriment and prejudice of Complainant as shipper and Complainant’s consignee—the ultimate good faith purchase.” Complaint, ¶ 40.

The complaint sufficiently alleges that Sealink at a minimum disclosed information related to the contents of the containers, i.e. concerning the nature, kind, quantity, or destination, of the cargo; that such disclosure was knowingly made by a common carrier or ocean freight forwarder; and that the information disclosed is of the type that could be used to the detriment or prejudice of the shipper, where it is alleged that the cargo was sold to another person. These allegations are sufficient to allege a violation of section 41103 under these facts.

At this stage of the proceeding, TLG is not required to identify the specific communication or show what information was disclosed. These topics are likely within the knowledge of Sealink and should be developed during discovery. At the briefing stage of the proceeding, TPG will have the burden to prove these allegations and should be prepared to present evidence supporting its claim.

C. Conclusion

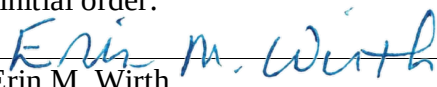
The complaint makes sufficient factual allegations to plausibly allege a violation of the Shipping Act, specifically of sections 41102(c) and 41103(a). Complainant will need to further develop and establish the factual basis supporting its complaint and must demonstrate that the facts support each elements of the Shipping Act sections alleged to be violated. At this stage of the proceeding, however, Complainant has plausibly alleged a Shipping Act claim and will be permitted to move forward.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Sealink’s motion to dismiss be **DENIED**. It is

FURTHER ORDERED that Sealink shall file its response to the complaint by January 10, 2025, and the parties shall submit a joint status report with proposed schedule by January 20, 2025, as required by the August 9, 2024, initial order.


Erin M. Wirth
Chief Administrative Law Judge